THINK Ahead: Politics meets the bond market (again...)

Not for the first time, it's Britain leading the way in what has been a grim week for the global bond market. Political drama is back, interest rate expectations are rising. But for all the noise, James Smith argues there are limits on how much politics is likely to drive central banks this year. Read on as he and the team look ahead to another busy week in markets

The UK's Mayor of Manchester Andy Burnham has his sights set on Downing Street

Politics meets the bond market (again...)

Let's face it: nobody does political drama quite like Britain. In a competitive field of big global stories – a global energy crisis, a meeting of two superpowers – the limelight has still somehow found its way back to London.

In case you're struggling to keep up (and who can blame you), the ruling Labour Party is in the midst of a leadership struggle. Prime Minister Keir Starmer, though still in office, is under existential pressure after poor local election results. A leadership contest looks increasingly inevitable. And if you believe the betting markets, Manchester Mayor Andy Burnham is the man to beat.

All of this has unfolded against the backdrop of a grim week for global bond markets. The UK's 10 year yield rose by more than a quarter of a percentage point. But Britain is hardly alone. US yields are up around 20bp this week, while Germany's are higher by roughly 13bp.

That's an important reminder. For all the noise coming out of Westminster, it is still oil prices – and the outlook for global central banks – that are doing the heavy lifting for interest rates, both at the short and long end.

Of course, politics could matter more from here. There is certainly scope for gilt yields to rise further on domestic drama. But in practice, will politics really be a central driver of central bank decisions this year?

When it comes to Britain, I think it's important to keep things in proportion.

Yes, the political centre of gravity is likely to shift left. And yes, there is pressure to adapt the fiscal rules. But politicians across the spectrum are presumably acutely aware there are limits, with the shadow of the 2022 "mini budget" crisis still hanging over Westminster.

Where leadership hopefuls are talking about higher borrowing, the emphasis is overwhelmingly on investment – particularly capital intensive areas such as defence and social housing. In practice, we suspect any additional borrowing, if it materialises, is unlikely to exceed £15–20bn per year.

That is not trivial. And investors would no doubt start to question the UK's longer term commitment to fiscal restraint, particularly as we edge closer to what could be a challenging 2029 general election.

But that is not quite the question facing the Bank of England.

The Bank needs to judge whether a modest fiscal pivot of this kind would materially boost inflation over a two year horizon. And if it's going to be centred on investment, it's worth recalling that Britain's recent track record of actually building things is... not great.

Private housebuilding is almost 20% below its pre Covid level. Firms consistently cite planning constraints and regulation as key bottlenecks. Britain's infrastructure delivery record is no more inspiring.

That suggests any fiscal boost is unlikely to move the dial much for the Bank of England in the near term, particularly when you remember the next Budget isn't due until late Autumn. And with investment, there is always the counter question of how much it lifts the supply side of the economy and productivity, offsetting any inflationary impulse.

If you want a cautionary tale, look at Germany. Optimism last spring around vast defence and infrastructure spending faded quickly as it became clear that this was not something that would happen overnight.

A year on, there are some signs of progress. Defence spending, for example, began to pick up late last year. Carsten Brzeski argues the impulse is now "real", with effects increasingly likely to show through this year and next – energy crisis notwithstanding.

Which brings us neatly back to energy.

When it comes to politics and its relationship with central banks, the far bigger question is whether governments across Europe are forced into much larger support packages than we have seen so far. The fuel tax cuts announced in various countries are small beer compared with the 2–3% of GDP packages rolled out in 2022. That, in no small part, was why central banks across Europe were forced into steep rate hikes four years ago.

Whether similar pressure builds again this time will depend, above all, on where energy prices go next. You can find our scenarios in the latest ING Monthly, or listen back to Warren Patterson walking through his outlook in our recent webinar.

Two points from that discussion stand out.

First, even if the war were to end tomorrow, energy prices may not fall as far as many expect. Significant drawdowns in oil inventories are likely to keep upward pressure on prices for some time yet.

Second, natural gas prices currently look too low. There is meaningful upside risk if disruptions persist into the third quarter, particularly as competition intensifies between Asian and European buyers for LNG.

It's a reminder that, for all the political noise, its energy prices will remain the dominant force for central banks. It's why we're expecting rate hikes from the Bank of England and European Central Bank in June, and why we no longer expect a Federal Reserve rate cut until December.

James Smith

Three scenarios for global energy markets

	Scale of disruption (% disruption to pre-war Persian Gulf oil flows)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Mar	Apr	May	Jun	Jul	Aug		Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	70	70	50	35	7	7	1625	104	99	92	31	55	45	45
Prolonged disruption 2	70	70	70	35	14	14	2013	116	112	105	44	74	60	60
Re-escalation 3	70	70	94	94	47	47	3311	135	150	120	58	90	75	80

Source: ING

THINK Ahead in developed markets

United States (James Knightley)

- **Housing starts** (Thu): It is a quiet week for US data, with a focus on housing numbers. High prices and elevated mortgage rates are an obvious headwind that is hurting affordability and depressing activity. We will also have the FOMC minutes, which will underscore the hawkish shift seen in April when three members wanted more neutral language on where interest rates may head.

United Kingdom (James Smith)

- **Inflation** (Wed): Headline inflation is actually likely to dip in April's data, due next week. That might sound strange as energy prices surge. But the timing of Easter is set to temporarily push down on CPI. So too will the fact that many of last year's administrative/regulatory price hikes weren't repeated at the start of this financial year – or not to the same extent. We're also looking for signs that lower wage growth and greater economic slack results in more muted annual price hikes across the service sector. If we're right, that should make some Bank of England officials more relaxed about the risk of second-round effects from the current energy crisis.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industry** (Thu): Activity in industry is on a roller-coaster ride. Following subdued output in the first two months due to harsh weather, industry rebounded sharply in March. Still, the general trend is far from positive. Industry has been nearly stagnant in recent years and weak external demand along with mounting competitive pressure from China poses a challenge for some sectors. At the same time, the Middle East conflict and unfolding energy crisis imposed yet another layer of risks and uncertainty. We expect the recovery in manufacturing to lose momentum ahead, even if short-term performance might be boosted by stockpiling. Upward pressure from energy commodities probably lifted PPI from over two-year-long deflation.
- **Labour market** (Thu): Wage growth continues its downward trend as the situation normalises after double-digit growth in 2023-24. In April, the lower annual dynamic was also probably facilitated by a high reference base due to high growth in mining. Employment in enterprises continues shrinking at a pace nearing 1% year-on-year as declining labour supply is facing somewhat softer demand.

Hungary (Peter Virovacz)

- **Wages** (Wed): It is hard to imagine anything stealing the limelight from the political headlines in Hungary nowadays. However, the ongoing issue of high wage growth would certainly exacerbate the complicated situation of the National Bank of Hungary. Strong real wage growth and rising consumer confidence could increase pipeline price pressure on top of the energy price shock. Meanwhile, the movement of the forint towards territory that would prompt the central bank to consider a dovish pivot sooner than expected is adding spice to the situation.

Czech Republic (David Havrlant)

- **PPI** (Wed): Higher oil and natural gas prices continued to pass through to producer pricing, when annual price dynamics in industry likely switched to positive territory in April, following more than a year of annual declines. This will further foster pressures on consumer prices, where goods price gains quickened in April.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 18 May		
Italy	0900	Mar Global Trade Balance (EUR bn)	-	4.9
		Tuesday 19 May		
US	1330	May 2 ADP weekly employment change (000s)	20	33
	1500	Apr pending home sales (MoM%)	1.1	1.5
Eurozone	1000	Mar Total Trade Balance SA (EUR bn)	-	7
UK	0700	Mar ILO Unemployment Rate	4.9	4.9
	0700	Mar Employment Change (000s)	160	25
	0700	Mar Average Weekly Earnings (3M YoY%)	3.7	3.8
	0700	Mar Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.6
Canada	1330	Apr CPI (MoM%/YoY%)	0.8/3.3	0.9/2.4
	1330	Apr Core CPI (MoM%/YoY%)	-/-	0.2/2.5
Netherlands	0530	Mar Trade Balance (EUR bn)	-	9.9
		Wednesday 20 May		
US	1900	FOMC Minutes	-	-
Eurozone	1000	Apr CPI (YoY%)	-	2.2
UK	0700	Apr Core CPI (YoY%)	2.6	3.1
	0700	Apr CPI (MoM%/YoY%)	1.0/3.0	0.7/3.3
	0700	Apr Services CPI (YoY%)	3.4	4.5
		Thursday 21 May		
US	1330	Initial Jobless Claims (000s)	215	211
	1330	Apr Housing Starts (000s)	1410	1502
Eurozone	0900	Mar Current Account SA (EUR bn)	-	24.9
	0900	May HCOB Manufacturing PMI Flash	-	52.2
	0900	May HCOB Services PMI Flash	-	47.6
	0900	May HCOB Composite PMI Flash	-	48.8
	1500	May Consumer Confidence Flash	-	-20.6
Germany	0830	May HCOB Manufacturing PMI Flash	50.8	51.4
	0830	May HCOB Service PMI Flash	46	46.9
	0830	May HCOB Composite PMI Flash	47.8	48.4
France	0815	May HCOB Composite PMI Flash	-	47.6
UK	0930	May S&P Global Composite PMI Flash	-	52.6
	0930	May S&P Global Manufacturing PMI Flash	-	53.7
	0930	May S&P Global Services PMI Flash	-	52.7
Sweden	0700	Apr Unemployment Rate	-	9.7
		Friday 22 May		
US	1500	May Michigan Sentiment Final	48.2	48.2
Germany	0700	Q1 GDP Detailed (QoQ%/YoY%)	0.2/0.4	0.3/0.5
	0700	Jun GfK Consumer Sentiment	-35	-33.3
	0900	May Ifo Business Climate	83.8	84.4
	0900	May Ifo Current Conditions	84.5	85.4
	0900	May Ifo Expectations	83.1	83.3
UK	0700	Apr Retail Sales (MoM%/YoY%)	-/-	0.7/1.7
Canada	1330	Mar Retail Sales (MoM%)	-	0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 18 May		
Poland	1300	Apr Core Inflation (YoY%)	2.9	2.7
Romania	1100	Mar Current Account (EUR bn)	-	2.3
		Wednesday 20 May		
Hungary	0730	Mar Average Gross Wages (YoY%)	9.0	9.7
Czech Rep	800	Apr PPI (MoM%/YoY%)	1.0/0.7	1.5/-1.1
		Thursday 21 May		
Poland	0830	Apr Employment (YoY%)	-0.9	-0.9
	0830	Apr Wages (YoY%)	5.9	6.6
	0830	Apr Industrial Output (YoY%)	2.4	9.4
	0830	Apr PPI (YoY%)	0.2	-0.8
		Friday 22 May		
Turkey	0800	Apr Trade Balance (USD bn)	-8.5	-11.2

Source: Refinitiv, ING

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